

WHAT WENT WRONG?

How Feasible Was the Keurig At-Home Soda Machine to Begin With?

Keurig Green Mountain is a specialty coffee company. It sources, makes, and sells coffee, hot cocoa, teas, and other beverages under various brands in portion packs for its Keurig brewing system. The Keurig brewing machines are very popular. A coffee-drinker buys a Green Mountain portion pack. You simply pop a pod into the slot, press the 8 oz.-size button, and place your mug under where the machine dispenses the coffee.

In 2015, Keurig decided to launch an at-home soda machine. The idea was to create a product for soda that was similar to the Keurig coffee machine. The Keurig Kold (which was its name) would allow people to quickly make single servings of soda in their homes. Keurig had high hopes for the Keurig Kold. The company even suggested that it might outsell its coffee makers, which are estimated to be in about 17 percent of U.S. households.

As it turned out, the Kold was a miserable failure. Nine months after it debuted, it was pulled from the market. What went wrong? Several things, which makes one wonder what type of feasibility analysis, if any, was conducted before the machine was offered for sale. Consider the following facts as causes of “what went wrong?”

1. It was too expensive. The machine debuted at \$369. In comparison, the cheapest SodaStream model, which also allows people to make single serve sodas at home, costs \$79. Every 8-ounce soda made by the Kold costs about 50 cents. By comparison, a 12-pack of branded-soda products, such as Coke, Dr. Pepper, or Pepsi Cola, can usually be bought at Walmart and other discount stores for about \$4.50. That's 37 $\frac{1}{2}$ cents for each 12-ounce drink.
2. It was too big, loud, bulky, and inconvenient. As soon as the Kold came out, buyers complained that it was too big and took up too much counter space. If you are interested, go to Google Images and type in Keurig Kold to judge for yourself. It was loud. It also had to be plugged in to work, meaning that one couldn't conveniently take it on a picnic or use it for an outdoor barbeque unless electricity was readily available.
3. The pods only came in one size. The Kold made a single 8-ounce serving of soda from disposable pods of syrup. There was no way to increase the drinks' size. Most cans of soda are 12 ounces. Soda fountains in restaurants or convenience stores often offer much larger sizes.
4. Soda consumption is on the decline. The Kold rolled out at the same time when Americans are cutting

back on soda consumption for nutritional and health reasons.

5. Who “brews” soda at home? Kold was asking people to change their behavior—something that is hard to do even if every other aspect of a product is perfect. People have always made coffee at home. The Keurig coffee machine provided a more convenient and efficient way for people to do something that was already being done. But people have never made soft drinks at home. The Kold's challenge was to not only make a soda maker, but to sell people on the idea of making soda at home.

Although Keurig is a large company, the failure of the Keurig Kold provides an important reminder for start-ups and young firms. It is vital for a company to determine if a product or business is feasible before, rather than after, it is introduced to the marketplace. And this just doesn't pertain to product feasibility analysis. All four phases of feasibility analysis that we've discussed in this chapter are important and vital.

Questions for Critical Thinking

1. Of the five facts that contributed to Kold's failure, which one do you think was the most damaging? Explain your answer.
2. Describe the feasibility analysis that Keurig Kold should have conducted prior to the Kold's debut. Do you think Keurig would have produced the same product if they had followed your recommendations? In what ways do you think the product would have been different?
3. Why is it so difficult to change people's behavior? How would you have gone about convincing people that making soda in their home is a good idea?
4. Write a 200-word essay on what a start-up can learn about feasibility analysis from the Keurig Kold failure.

Sources: H. Peterson. “Why Keurig's At-Home Soda Machine Was Always Going to Fail?” Slate.com, available at http://www.slate.com/blogs/business_insider/2016/06/07/keurig_s_kold_an_at_home_soda_machine_was_doomed_to_fail.html (posted June 7, 2016, accessed February 10, 2017); A. Steele. “The One Simple Reason That Keurig Kold Failed: No One Makes Soda at Home,” Zacks, <https://www.zacks.com/stock/news/219798/the-one-simple-reason-that-keurig-kold-failed-no-one-makes-soda-at-home> (posted June 7, 2016, accessed February 10, 2017).

made. Business ideas at the feasibility analysis stage should always be seen as fluid and subject to change. Little is lost if several versions of First Screen are completed for the same business idea; however, there is much more to be lost if a start-up gets halfway through writing a business plan and concludes that the business isn't feasible, or actually launches a business without having at least most of the kinks worked out.